

Operating models and value chains

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An organization's purpose defines its intent, but it is the operating model, value chain, and practices that bring that intent to life.



Organization's purpose

Describes what an organization does for its consumers and other stakeholders and why.

Operating model

A conceptual and/or visual representation of how an organization co-creates value with its customers and other stakeholders, as well as how the organization runs itself.

Value chain

An entire set of activities that enables value through the provision of a product or service.

Operating model canvas

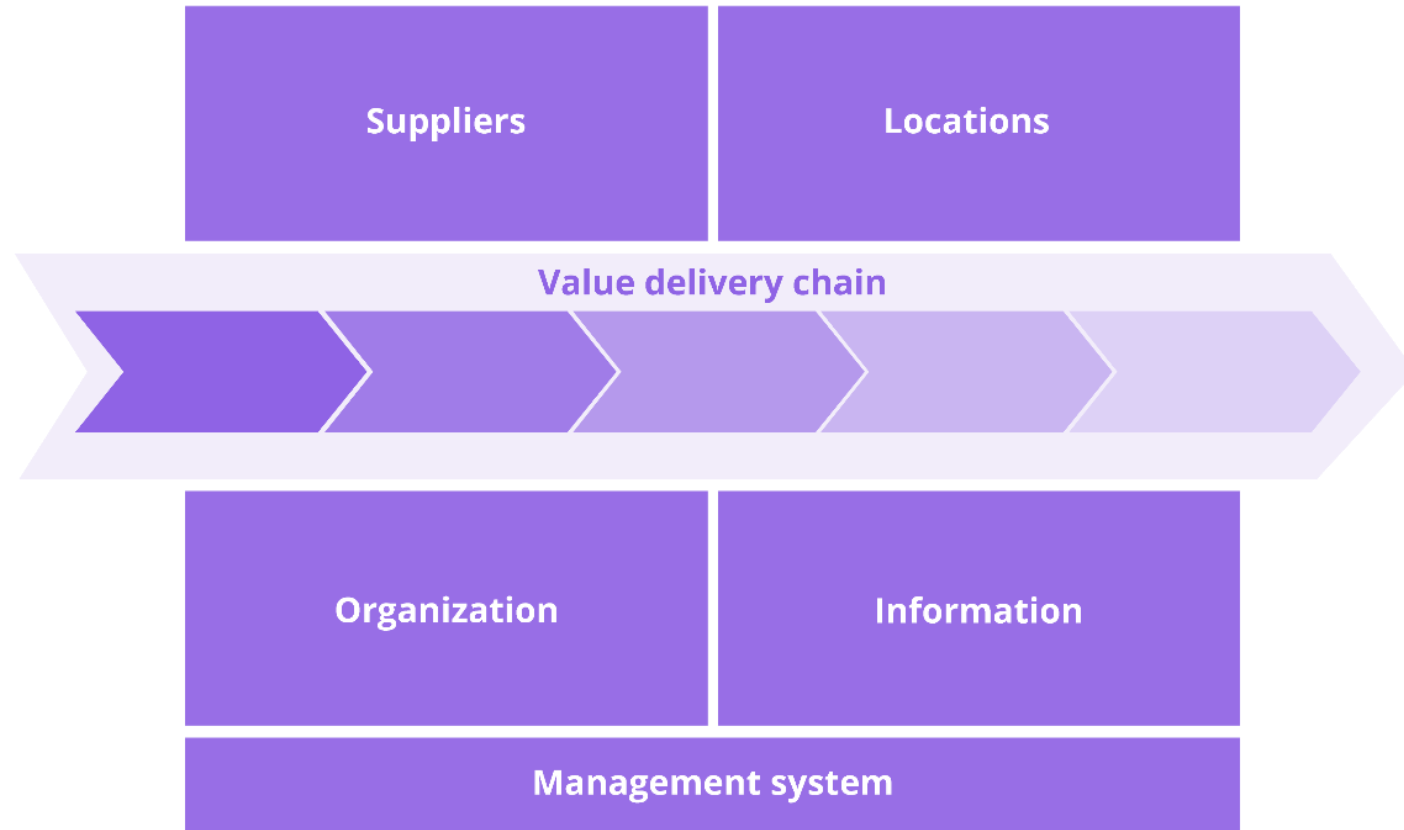
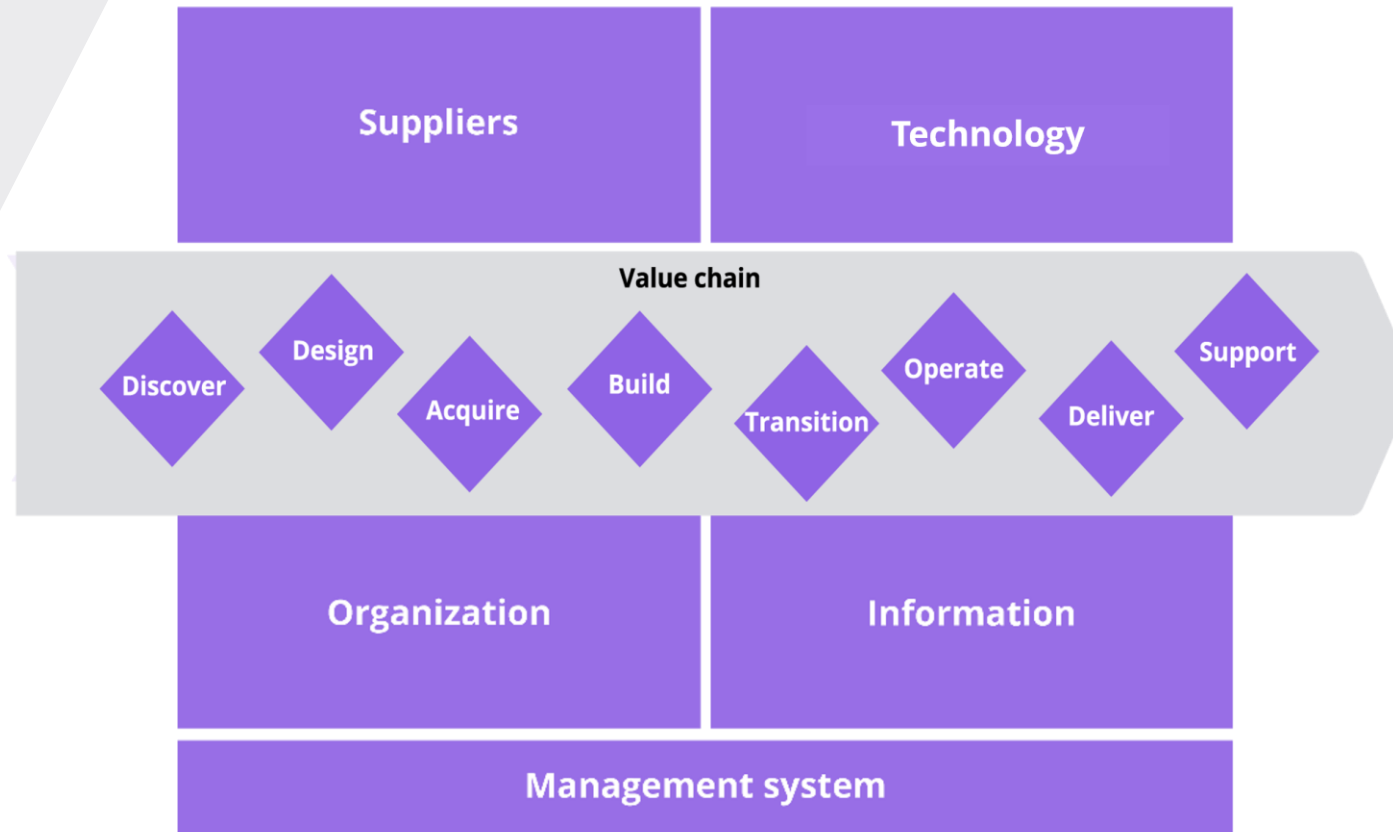


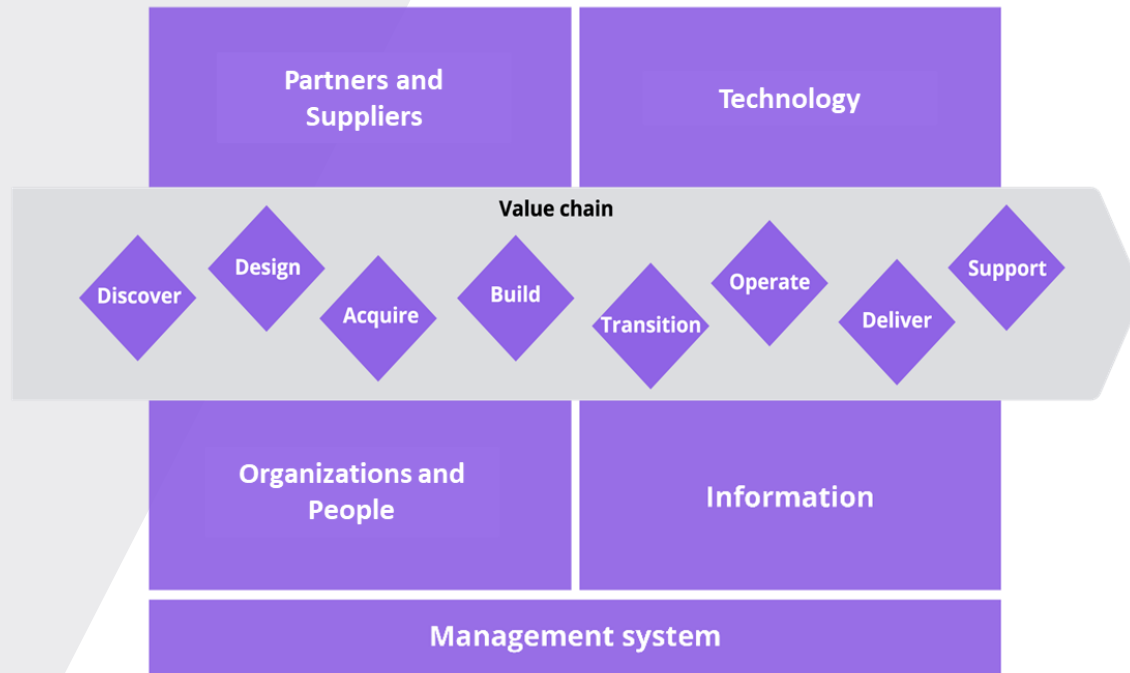
Figure 2.3 Operating Model Canvas (*ITIL Strategy Official Book*)

Operating model canvas and ITIL

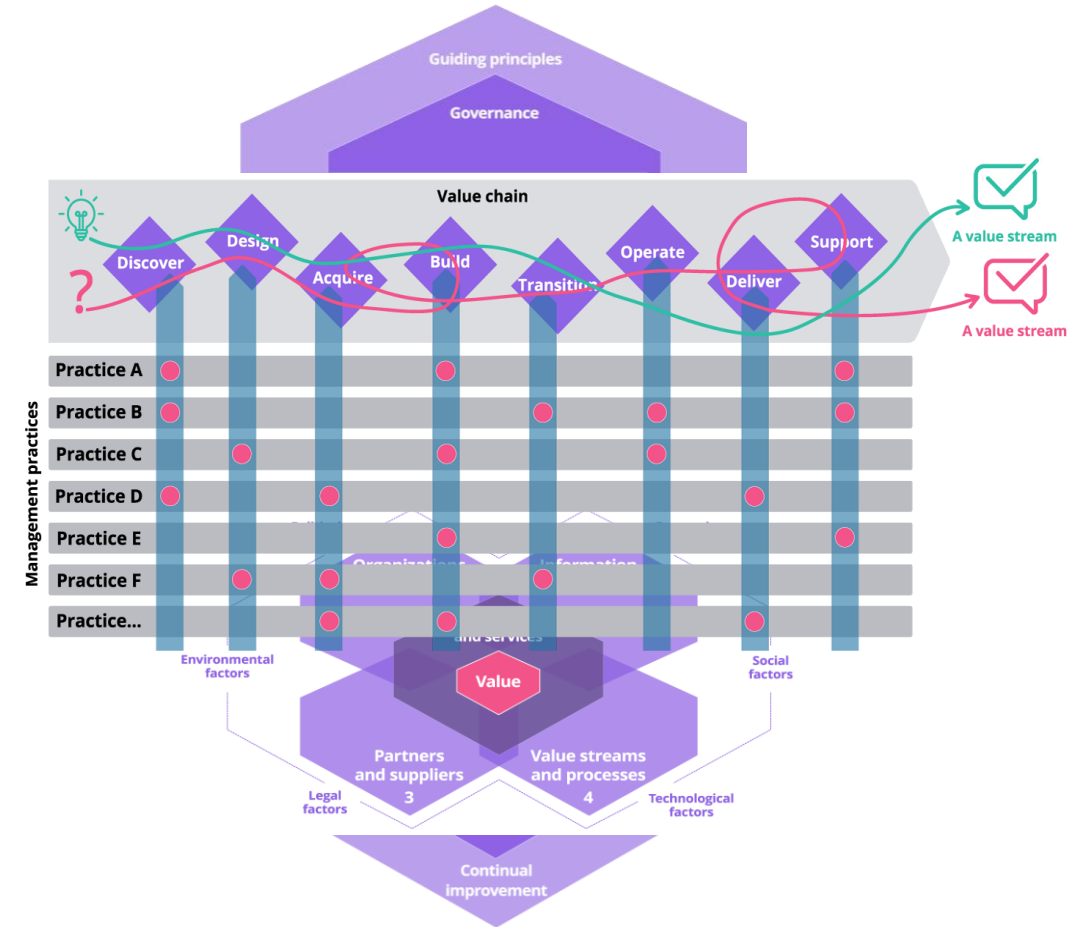


Adapted from Figure 2.3 Operating Model Canvas
(ITIL Strategy Official Book)

Operating model canvas and ITIL Value System



Adapted from Figure 2.3 Operating Model Canvas (*ITIL Strategy Official Book*)

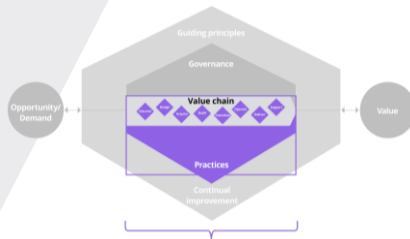


Adapted from Figure 1.10 The key models of ITIL (Version 5): the big picture (*ITIL Foundation Official Book*)

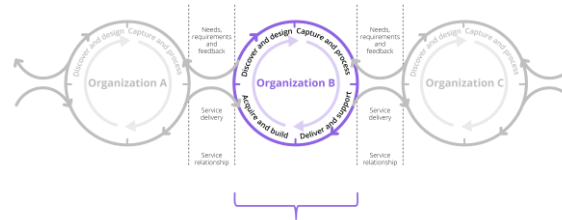
ITIL Foundation | The Big Picture



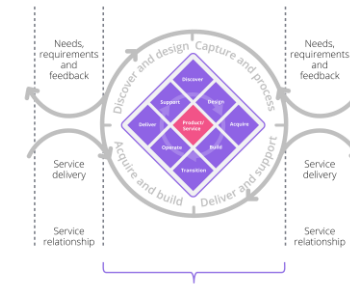
The ITIL Guiding Principles help make **decisions** at **all levels** and in **all circumstances**



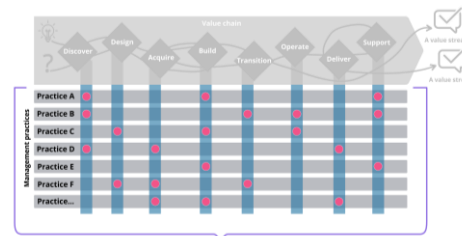
- Each organization has a **value system** enabling value co-creation
- The central component of the value system is a **value chain**: activities the organization performs to manage products and services



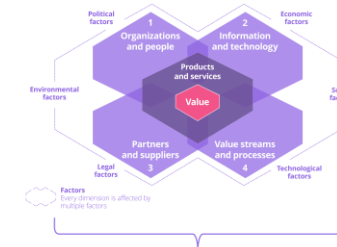
- All organizations are engaged in **service relationships**



- In service relationships, every organization takes responsibility for all or some stages of **the product and service lifecycle**



- The value chain is enabled and supported by the **management practices**



- Management practices integrate **resources from the four dimensions** to form the management capabilities required for effective product and service management within an organization

Purpose, operating model, and value chain



- Each **value chain activity** is supported and enabled by several **management practices**.
- Each practice contributes to managing a specific aspect of digital products and services.

Together, these practices enable organizations to manage digital products and services effectively **throughout their lifecycle**.

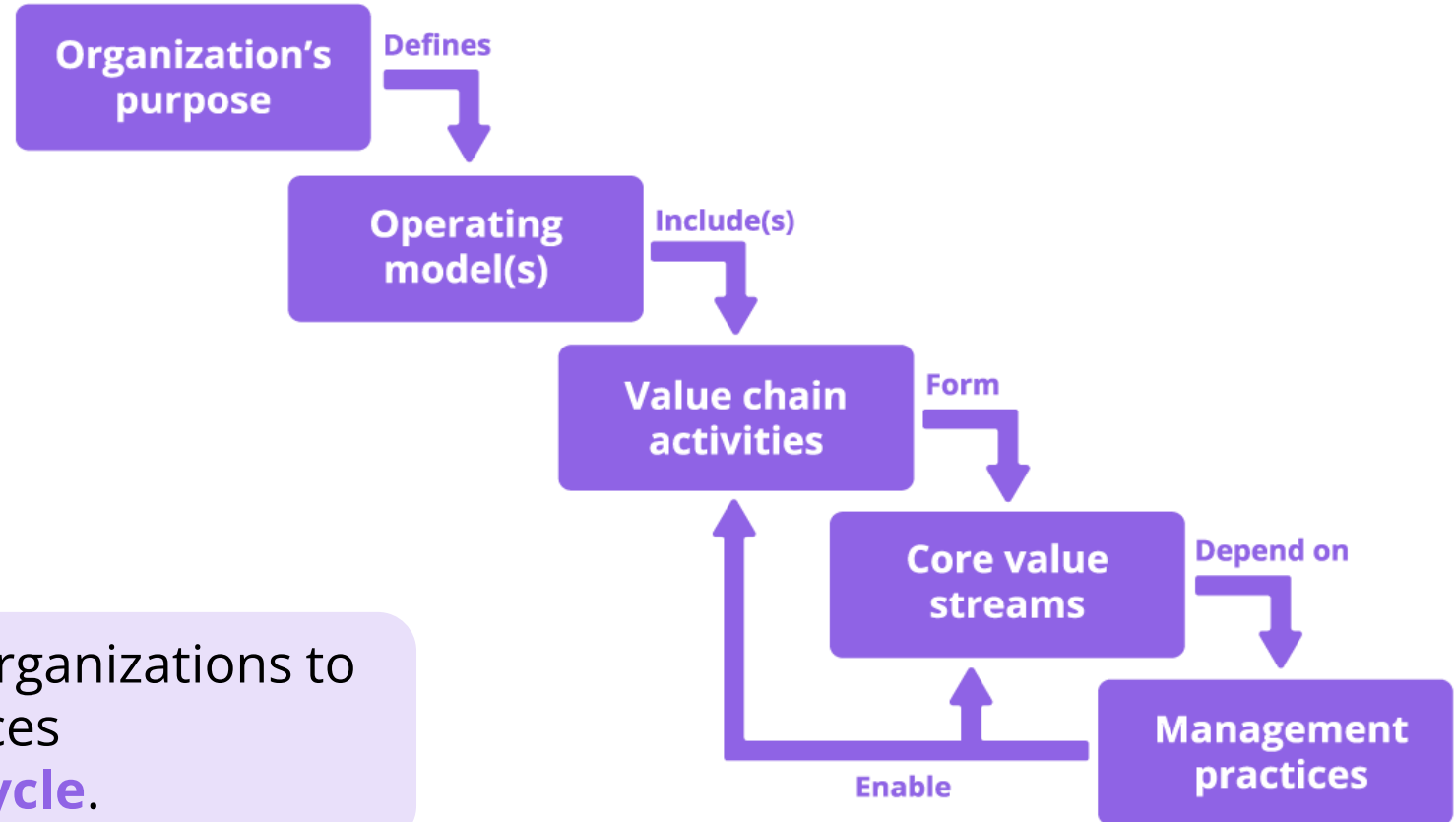


Figure 5.3 From organization's purpose to value streams

Value chain patterns

Table 5.2 Summary of the value chain patterns

Organization's purpose	Operating model	Who is typically responsible for other product and service management activities?	Typical reasons to adopt the value chain pattern
1. To support the core business of the company with effective and efficient technology solutions.	All activities of the ITIL Product and Service Lifecycle management from 'discover' to 'support'.	N/A	Use of internally developed digital products to perform core business activities and achieve competitive advantage.
2. To ensure efficient and reliable delivery of IT services based on third-party technology solutions.	Acquire, transition, operate, deliver, support.	Discover: business customers. Design, build: external vendors.	Use of standard digital products to enable and support business activities and ensure efficiency.
3. To ensure efficient and reliable delivery of IT services and coordination of third parties responsible for product development and operation.	Deliver, support.	Discover: business customers. Design, build: external vendors. Acquire, transition, operate: external managed service providers.	Use of standard digital products to enable and support business activities and maximize efficiency.
4. To provide digital products to individual users and small businesses.	All activities of the ITIL Product and Service Lifecycle management from 'discover' to 'support'.	N/A	Mass delivery of service based on internally developed digital products, as the main business of the organization.
5. To develop and ship software to meet specific customer's requirement.	Design, acquire, build, transition (partially).	Discover: customers. Transition: jointly with customers and/or third parties. Operate: customers or third parties. Deliver, support: customers.	Custom software development as a business.
6. To implement, operate, and support consumer's digital platform and software solutions.	Transition (partially). Operate, support.	Discover: customers. Design, acquire, build: software vendors or customers. Transition: jointly with customers and/or software vendors.	N/A